

The Use of Designated Agency

Designated Agent

Remember, a **designated agent** is appointed by the broker to represent one party to a transaction while the other party to the transaction is represented by another agent from the same agency. This allows the broker to act as the dual agent while still maintaining the ability to give both clients the fiduciary duties they're owed in a typical relationship.

To minimize the risk of confidential information being shared between opposing parties in a designated agency situation, firewalls should exist. A **firewall** keeps each party's confidential information strictly separated, even though both agents work for the same brokerage. To ensure confidential information is kept confidential, the brokerage should have established policies and procedures to separate transactional documents, policies for when, how, and where to discuss confidential information inside the brokerage to ensure confidential information isn't leaked, and a procedure to follow in the event that confidential information is inadvertently shared.

For example, let's say that Licensee Benito represents the buyer and Licensee Stan represents the seller. Benito overhears Stan on the phone with his client, and realizes that the seller's getting nervous and needs to sell right away. There should be a policy that requires Benito to maintain the seller's confidentiality, even though he represents the buyer, and even though this information would be beneficial to his client.

When explaining designated agency to clients, this is an important scenario to discuss. Clients need to know what would happen if this occurred under designated agency. To be fair, if the two agents did work for competing brokerages, there's very little likelihood that one would be privy to confidential information such as this.